

Reinsurance Treaty - EX2025001

Treaty Number:	EX2025001
Cedent:	Example Cedent Inc.
Reinsurer:	Example Reinsurer Corp.
Effective Date:	01 January 2025
Expiry Date:	31 December 2025
Treaty Type:	Unknown

QUOTA SHARE REINSURANCE TREATY

TREATY NUMBER: EX2025001_1

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PARTIES TO THE TREATY

THE REINSURED (Ceding Company):

Example Cedent Inc.

[Address Line 1]

[Address Line 2]

[City, State, ZIP]

THE REINSURER:

Example Reinsurer Corp.

[Address Line 1]

[Address Line 2]

[City, State, ZIP]

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TREATY PERIOD

****Effective Date:**** 01 January 2025 at 00:01 hours local time at the address of the Reinsured

****Expiry Date:**** 31 December 2025 at 24:00 hours local time at the address of the Reinsured

****Period of Insurance:**** This Treaty covers policies issued or renewed during the Treaty Period, including any policies bound prior to the Effective Date but incepting during the Treaty Period.

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ARTICLE 1: BUSINESS COVERED

1.1 Classes of Business

This Treaty shall apply to the following classes of business written by the Reinsured:

- ****Property Insurance**** (Fire, Allied Perils, and All Risks)
- ****General Liability Insurance**** (excluding Professional Indemnity)
- ****Marine Cargo Insurance****
- ****Motor Insurance**** (excluding Motor Liability)
- ****Engineering Insurance**** (excluding Construction All Risks exceeding USD 25,000,000 per risk)
- ****Miscellaneous Accident Insurance****

1.2 Territorial Scope

This Treaty covers business written in the following territories:

- United States of America (excluding Alaska and Hawaii)
- Canada (excluding territories north of 60° latitude)

1.3 Excluded Business

The following business is specifically excluded from this Treaty:

- a) Aviation and Space risks
- b) Nuclear energy liability and property damage
- c) Terrorism as defined by the Terrorism Risk Insurance Act (TRIA)
- d) War, civil war, revolution, and similar risks
- e) Cyber and data breach liability
- f) Asbestos-related claims
- g) Environmental pollution liability
- h) Professional Indemnity and Directors & Officers Liability
- i) Life, Accident, and Health insurance
- j) Financial and Credit insurance
- k) Surety and Fidelity bonds

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ARTICLE 2: REINSURANCE SHARE AND RETENTION

2.1 Quota Share Percentage

The Reinsurer agrees to accept ****40%**** (forty percent) of each and every risk covered under this Treaty.

The Reinsured shall retain ****60%**** (sixty percent) of each and every risk covered under this Treaty.

2.2 Automatic Binding Authority

The Reinsured has automatic binding authority up to the following limits per risk:

| Class of Business | Maximum Any One Risk | Maximum Any One Loss |

|-----|-----|-----|

| Property | USD 10,000,000 | USD 10,000,000 |

| General Liability | USD 5,000,000 | USD 5,000,000 |

| Marine Cargo | USD 3,000,000 | USD 3,000,000 |

| Motor | USD 500,000 | USD 500,000 |

| Engineering | USD 8,000,000 | USD 8,000,000 |

| Miscellaneous Accident | USD 2,000,000 | USD 2,000,000 |

2.3 Facultative Obligations

Risks exceeding the automatic binding limits specified in Article 2.2 require prior written approval from the Reinsurer before attachment to this Treaty. The Reinsurer agrees to respond to facultative submissions within five (5) business days.

2.4 Proportional Sharing

All premiums, losses, loss adjustment expenses, and other costs shall be shared between the Reinsured and the Reinsurer in the exact proportion of 60%/40% as specified in Article 2.1.

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ARTICLE 3: PREMIUM PROVISIONS

3.1 Premium Basis

The reinsurance premium shall be calculated as ****40%**** of the gross written premium income of the Reinsured on all policies covered under this Treaty, subject to the commission provisions in Article 4.

3.2 Minimum and Deposit Premium

****Minimum Annual Premium:**** USD 8,000,000 (eight million United States Dollars)

****Deposit Premium:**** USD 2,000,000 (two million United States Dollars) payable as follows:

- 25% within 30 days of the Effective Date
- 25% within 90 days of the Effective Date
- 25% within 180 days of the Effective Date
- 25% within 270 days of the Effective Date

3.3 Premium Adjustment

Premium adjustments shall be made quarterly based on actual gross written premium. The Reinsured shall provide premium bordereaux within thirty (30) days following the end of each calendar quarter.

3.4 Premium Warranty

The Reinsured warrants that the estimated annual gross written premium for the Treaty Period is approximately USD 25,000,000 (twenty-five million United States Dollars). Should actual premium vary by more than 20% from this estimate, either party may request a review of the treaty terms.

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ARTICLE 4: COMMISSION AND PROFIT COMMISSION

4.1 Ceding Commission

The Reinsurer shall allow the Reinsured a provisional ceding commission of ****32.5%**** (thirty-two and one-half percent) of the reinsurance premium ceded under this Treaty.

This commission is intended to compensate the Reinsured for:

- Policy acquisition costs
- Premium collection expenses
- General administrative expenses
- Portfolio management costs

4.2 Profit Commission

In addition to the ceding commission, the Reinsurer shall pay a profit commission calculated as follows:

****Profit Commission Formula:****

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Profit Commission = (Reinsurance Premium - Paid Losses - Loss Reserves -
Loss Adjustment Expenses - Reinsurer's Management Expense) ×
Profit Commission Rate

Where:

- **Reinsurance Premium** = Gross reinsurance premium less ceding commission
- **Reinsurer's Management Expense** = 5% of reinsurance premium
- **Profit Commission Rate** = 20% (twenty percent)

4.3 Profit Commission Calculation Period

Profit commission shall be calculated annually as of 31 December 2025 and shall be based on results developed through 31 December 2026 (twelve months after expiry). A final adjustment shall be made as of 31 December 2027 (twenty-four months after expiry).

4.4 Profit Commission Payment

Any profit commission due shall be paid within sixty (60) days of the calculation date, subject to receipt of complete accounts and supporting documentation.

4.5 Loss Carry Forward

If the account shows a loss in any calculation period, such loss shall be carried forward and offset against profits in subsequent calculation periods before any profit commission becomes payable.

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ARTICLE 5: LOSS PROVISIONS

5.1 Definition of Loss

For the purposes of this Treaty, "Loss" shall mean:

- a) All sums paid or payable by the Reinsured under the terms of the original policies
- b) Loss adjustment expenses, both allocated and unallocated
- c) Legal defense costs and expenses
- d) Claims investigation expenses
- e) Salvage and subrogation expenses

5.2 Loss Settlement

The Reinsurer shall pay its proportion (40%) of all losses covered under this Treaty. Loss payments shall be made within thirty (30) days of receipt of complete loss documentation.

5.3 Loss Reserves

The Reinsurer's proportion of outstanding loss reserves shall be established and maintained in accordance with the Reinsured's reserving practices and shall be reported quarterly.

5.4 Ex Gratia and Extra-Contractual Obligations (ECO)

Ex gratia payments and extra-contractual obligations are covered under this Treaty provided:

- a) The Reinsured has acted in good faith
- b) The payments are reasonable under the circumstances
- c) The Reinsurer has been consulted in advance for amounts exceeding USD 100,000

5.5 Salvage and Subrogation

All salvage and subrogation recoveries shall be shared proportionally (60%/40%) after deduction of recovery expenses. The Reinsured shall make reasonable efforts to pursue subrogation opportunities exceeding USD 50,000.

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ARTICLE 6: REPORTING AND ACCOUNTS

6.1 Quarterly Bordereaux

The Reinsured shall provide the following bordereaux within thirty (30) days following the end of each calendar quarter:

****Premium Bordereau containing:****

- Policy number and insured name
- Class of business
- Period of insurance
- Sum insured and limits
- Gross premium
- Reinsurance premium (40% share)
- Ceding commission

****Loss Bordereau containing:****

- Claim number and policy details
- Date of loss and reporting date
- Description of loss
- Gross loss paid and outstanding reserves
- Reinsurer's share (40%)
- Loss adjustment expenses

6.2 Annual Statement of Account

Within ninety (90) days following the expiry of the Treaty Period, the Reinsured shall provide a complete annual statement of account showing:

- Total premiums ceded
- Total ceding commission
- Total losses paid and reserved
- Profit commission calculation (preliminary)
- Net balance due to or from the Reinsurer

6.3 Audit Rights

The Reinsurer or its authorized representatives shall have the right to audit the Reinsured's books and records relating to this Treaty upon thirty (30) days' written notice. Such audits may be conducted during normal business hours and not more than once annually unless discrepancies are discovered.

6.4 Currency

All accounts shall be rendered in United States Dollars (USD). Premiums and losses in other currencies shall be converted at the exchange rate prevailing on the date of transaction.

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ARTICLE 7: CLAIMS COOPERATION AND CONTROL

7.1 Claims Handling Authority

The Reinsured shall have full authority to investigate, negotiate, defend, and settle all claims covered under this Treaty in accordance with its normal business practices.

7.2 Large Loss Notification

The Reinsured shall notify the Reinsurer within five (5) business days of any of the following:

- a) Any loss where the Reinsurer's ultimate liability may exceed USD 500,000
- b) Any loss involving death or serious bodily injury
- c) Any loss likely to attract significant media attention
- d) Any loss involving allegations of fraud or criminal activity

7.3 Claims Consultation

For losses where the Reinsurer's share may exceed USD 1,000,000, the Reinsured shall:

- a) Provide regular status updates at least monthly
- b) Consult with the Reinsurer before making settlement offers exceeding USD 2,000,000
- c) Consider the Reinsurer's input on settlement strategy
- d) Provide access to claim files and documentation upon request

7.4 Follow the Settlements

The Reinsurer agrees to follow the settlements of the Reinsured provided:

- a) The Reinsured has acted in good faith
- b) The settlements are within the terms of the original policies
- c) The settlements are within the scope of this Treaty
- d) The settlements comply with applicable laws and regulations

7.5 Allocation of Defence Costs

Defence costs and legal expenses shall be allocated proportionally (60%/40%) and shall not erode policy limits unless the original policy so provides.

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ARTICLE 8: SPECIAL PROVISIONS

8.1 Catastrophe Aggregation

For the purposes of catastrophe loss aggregation, all losses arising from a single event or series of events arising from the same originating cause within a period of 168 consecutive hours shall be deemed to be one loss occurrence.

****Catastrophe Limit:**** The Reinsurer's liability for any one catastrophe occurrence shall not exceed USD 15,000,000 (fifteen million United States Dollars).

8.2 Clash Cover

This Treaty includes automatic clash coverage whereby multiple policies issued to different insureds but affected by a single loss event shall be aggregated and treated as one loss occurrence for the purposes of the catastrophe limit.

8.3 Reinstatement Provisions

In the event the catastrophe limit is reduced or exhausted by loss payments:

- a) One automatic reinstatement is provided at 100% of the original catastrophe limit
- b) Reinstatement premium shall be charged pro-rata based on the amount of limit reinstated
- c) Reinstatement premium rate: 100% of the pro-rata annual premium
- d) Additional reinstatements may be negotiated on terms to be agreed

8.4 Portfolio Withdrawal

Neither party may withdraw or cancel this Treaty during the Treaty Period except for non-payment of premium. However, either party may give ninety (90) days' written notice of non-renewal prior to the expiry date.

8.5 Portfolio Transfer on Termination

Upon termination or non-renewal of this Treaty, the Reinsured may elect either:

****Option A - Run-Off:**** The Reinsurer remains liable for its share of all losses on policies incepting during the Treaty Period until final settlement. The Reinsured continues to provide quarterly bordereaux until all claims are settled.

****Option B - Loss Portfolio Transfer:**** The parties may negotiate a commutation or loss portfolio transfer based on actuarial assessment of outstanding liabilities.

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ARTICLE 9: DEFINITIONS

9.1 Gross Written Premium

Means all premiums written by the Reinsured on policies covered under this Treaty, before deduction of commissions, taxes, or other costs, but excluding:

- Premium finance charges
- Policy fees not related to insurance coverage
- Premiums on excluded business

9.2 Ultimate Net Loss

Means the total sum paid or payable by the Reinsured in settlement of losses, including:

- Indemnity payments to insureds
- Allocated and unallocated loss adjustment expenses
- Legal costs and expenses
- Investigation expenses

But excluding:

- Premiums returned to policyholders
- Premium taxes
- Overhead expenses not directly related to claims

9.3 One Risk

Means all insured property and/or liability exposures covered under a single policy or certificate, including:

- All locations and operations of a single insured
- All property at a single location regardless of number of buildings
- All property in transit under a single shipment

9.4 One Loss Occurrence

Means all losses arising from:

- One event or happening
- A series of events or happenings attributable to one originating cause

- All losses occurring within a period of 168 consecutive hours arising from the same meteorological or seismic event

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ARTICLE 10: GENERAL CONDITIONS

10.1 Utmost Good Faith

This Treaty is subject to the principle of utmost good faith (*uberrima fides*). Both parties warrant that all information provided is true, accurate, and complete.

10.2 Errors and Omissions

Inadvertent errors, omissions, or delays in reporting shall not prejudice the rights of either party provided:

- a) Such errors or omissions are corrected promptly upon discovery
- b) Neither party is materially prejudiced by the error or omission
- c) The error or omission was made in good faith

This clause shall remain in effect for twelve (12) months following the expiry of the Treaty Period.

10.3 Insolvency

In the event of insolvency, bankruptcy, or liquidation of the Reinsured, the reinsurance provided under this Treaty shall be payable directly to the Reinsured, its liquidator, receiver, or statutory successor, on the basis of the liability of the Reinsured without diminution because of the insolvency.

The liquidator, receiver, or statutory successor shall give written notice to the Reinsurer of the pendency of any claim within a reasonable time after such claim is filed in the insolvency proceeding.

10.4 Currency and Exchange Rates

All premiums, losses, and other amounts shall be payable in United States Dollars (USD). Amounts in other currencies shall be converted at:

- ****For premiums:**** The exchange rate on the inception date of the original policy
- ****For losses:**** The exchange rate on the date of loss payment by the Reinsured
- ****For reserves:**** The exchange rate prevailing on the reporting date

10.5 Offset

The Reinsurer shall have the right to offset any balances due from the Reinsured against amounts payable under this Treaty or any other reinsurance agreement between the parties.

10.6 Confidentiality

Both parties agree to maintain the confidentiality of all information exchanged under this Treaty, including:

- Premium and loss data
- Underwriting information
- Business strategies and practices
- Financial information

This obligation shall survive the termination of this Treaty for a period of five (5) years.

10.7 Assignment

Neither party may assign or transfer its rights or obligations under this Treaty without the prior written consent of the other party, which consent shall not be unreasonably withheld.

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ARTICLE 11: